

SENIOR EXECUTIVE DIRECTOR

SMD-I(N)/JJ/2331/95

June 26, 1995

To
All stock exchanges

Dear Sir,

Submission of Cash Flow Statement.

It may be recalled that SEBI formed a group consisting of representatives of SEBI, the Stock Exchanges of Bombay, Calcutta, Delhi and Ahmedabad, National Stock Exchange and the Institute of Chartered Accountants of India (ICAI) to frame the norms for incorporating a new provision in the Listing Agreement requiring the companies to give a Cash Flow Statement in their Annual Reports.

The Cash Flow Statement in the annual report will ensure the disclosure of actual cash flow in the operations of the company. Incorporation of a new provision in the Listing Agreement requiring the companies to give a Cash Flow Statements in their annual reports will help the investors to get better quality information about the performance of the company. Internationally, the requirement of a cash flow statement is imposed and this is considered to be an essential source of information for investors.

The group has suggested the requirements for Cash Flow statements and also a model of the same. SEBI has decided that the suggested modifications in the Listing Agreement should provide for the companies giving of Cash Flow Statement in the Annual Report.

It is therefore considered necessary to amend Clause 32 of the Listing Agreement as indicated hereunder:-

"The company will supply a copy of the complete and full Balance Sheet, Profit and Loss Account and the Director's Report to each shareholder and upon application to any member of the exchange. The company will also give a Cash Flow Statement along with the Balance Sheet and Profit and Loss Account. The Cash Flow Statement will be prepared in accordance with the Annexure attached hereto."

The above mentioned Annexure is in Annexure A.

Cash Flow Statement, as a requirement in the Listing Agreement, should be made effective for the accounts prepared by the companies and listed entities from the financial year 1994-95.

It is requested that these amendments may be put up before your Governing Board for approving the changes suggested herein and we may be intimated of the resolution passed by your Board.

Yours faithfully,
sd/-

P.V. KRISHNAMURTHY

Encl : As stated above.

ANNEXURE- A

OBJECTIVES

1. The objective of the cash flow statement (CFS) is to require reporting entities falling within its scope to report on a standard basis their cash generation and cash absorption for a period between two balance sheet dates. Standard headings have been devised for assisting the users to assess the

liquidity, viability and financial adaptability of the reporting entity. This will ensure that cash flows highlight the significant components of the cash flow and facilitates comparison of the cash flow performance of different and varying natures of business.

APPLICABILITY

2. This requirements shall be mandatory for all the listed companies and other listed entities on the recognised stock exchanges.

SCOPE

3. A company should prepare a cash flow statement in accordance with this requirements and should present it as an integral part of its financial statements for each period for which financial statements are presented.

BENEFITS OF CASH FLOW INFORMATION

4. A cash flow statement, when used in the conjunction with the rest of the financial statements, provides information that enables users to analyse the pattern of resource deployment in/out of assets, evaluate the changes in net assets of a company, its financial structure (including its liquidity and solvency) and its ability to affect the amounts and timing of cash flow in order to adapt to changing circumstances and assessing the ability of the company to generate cash and cash equivalent and enables users to develop models to assess and compare the present value of the future cash flows of different companies. It also enhances comparability of the reporting of operating performance by different companies because it eliminates the effects of using different accounting treatments for the same transactions and events.

5. Historical cash flow information is often used as an indicator of the amount, timing and certainty of future cash flows. It is also useful in checking the accuracy of past assessments of future cash flows and in examining the relationship between profitability and net cash flow and the impact of changing prices.

GROUND RULES FOR PREPARATION OF THE CASH FLOW STATEMENTS

6.(i) The cash flow statement for a period should be derived from the audited annual financial statements of the company. This statement should be mandatorily circulated by all listed companies alongwith the annual report to the share holders and will also be made available to the stock exchanges and SEBI.

6.(ii) This will form part of the listing agreement between the listed and other entities and the exchange and would come into effect for all annual accounts approved by the shareholders after March 31, 1995.

6.(iii) The figure relating to change in the working capital shall be supported by a statement giving an item-wise break-up of the elements comprised therein.

6.(iv) Movements within the financing section of the CFS or where several balance sheet amounts or part thereof have to be combined, to permit a reconciliation sufficient detail should be shown to enable the movements to be understood.

6.(v) Comparative figures should be given in the CFS and notes/supporting statements thereto.

6.(vi) The statement shall be issued under the authority of the Board and shall be signed on behalf of the Board of Directors in the manner provided for authentication of Balance Sheet and Profit and Loss account in Section 215 of the Companies Act, 1956.

6.(vii) The statement shall be verified and accompanied by a certificate of the statutory auditors.

DEFINITIONS

7.(i) **CASH** Cash in hand and deposits repayable on demand with any bank or other financial institutions and body corporates. Cash includes cash in hand and deposits denominated in foreign currencies.

7.(ii) **CASH EQUIVALENTS** Are short term (three months or less) or highly liquid investments that are readily convertible into known amounts of cash and which are subject to an insignificant risk of changes in value.

7.(iii) **CASH FLOW** An increase or decrease in the amount of the cash or cash equivalent resulting from a transaction.

7.(iv) **COMPANIES ACT, 1956** Companies Act of 1956 and all amendments made therein.

7.(v) **INVESTMENTS** Assets held not for operational purposes or for carrying on the business of the company will be called investments. However in the case of a company where securities are stock in trade, they shall be reckoned as inventory and not cash equivalents.

7.(vi) **OPERATING ACTIVITIES** Are the principal revenue-producing activities of the company and other activities that are not investing or financing activities.

7.(vii) **INVESTING ACTIVITIES** Are the acquisition and disposal of long-term assets and other investments not included in cash equivalents.

7.(viii) **FINANCING ACTIVITIES** Are activities that result in changes in the size and composition of the equity capital and borrowings of the company.

CASH AND CASH EQUIVALENTS

8. Cash equivalents are held for the purpose of meeting short-term cash commitments rather than for investment or other purposes. For an investment to qualify as a cash equivalent, it must be readily convertible to a known amount of cash and be subject to an insignificant risk of changes in value. Therefore, an investment normally qualifies as a cash equivalent only when it has a short maturity of, say, three months or less from the date of acquisition. Share investments are excluded from cash equivalents unless they are, in substance, cash equivalents, for example, in the case of preference shares acquired within a short period of their maturity and with a specified redemption date.

9. Bank borrowings are generally considered to be financing activities. However, in some countries, bank overdrafts which are repayable on demand form an integral part of a company's cash management. In these circumstances, bank overdrafts are included as a component of cash and cash equivalents. A characteristic of such banking arrangements is that the bank balance often fluctuates from being positive to overdrawn.

10. Cash flows exclude movements between items that constitute cash or cash equivalents because these components are part of the cash management of a company rather than a part of its operating, investing and financing activities. Cash management includes the investment of excess cash in cash equivalents.

PRESENTATION OF CASH FLOW STATEMENT.

11. The cash flow statement should report cash flows during the period classified by operating, investing and financing activities.

12. A company presents its cash flows from operating, investing and financing activities in a manner which is most appropriate to its business. Classification by activity provides information that allows users to assess the impact of those activities on the financial position of the company and the amount of its cash equivalent. This information may also be used to evaluate the relationships among these activities.

13. A single transaction may include cash flows that are classified differently. For example, when the cash repayment of a loan includes both interest and capital, the interest element may be classified as an operating activity and the capital element is classified as a financing activity.

OPERATING ACTIVITY

14. The amount of cash flows arising from operating activities is a key indicator of the extent to which the operations of the company have generated sufficient cash flows to repay loans, maintain

the operating capability of the company, pay dividends and make new investments without recourse to external sources of financing. Information about the specific components of historical operating cash flows is useful, in conjunction with other information, in forecasting future operating cash flows.

15. Cash flows from operating activities are primarily derived from the principal revenue-producing activities of the company. Therefore, they generally result from the transactions and other events that enter into the determination of net profit or loss. Examples of cash flows from operating activities are :

- A) Cash receipts from the sale of goods and the rendering of services;
- B) Cash receipts from royalties, fees, commissions and other revenue;
- C) Cash payments to suppliers for goods and services;
- D) Cash payments to and on behalf of employees;
- E) Cash receipts and cash payments of an insurance company for premiums and claims, annuities and other policy benefits;
- F) Cash payments or refunds of income taxes unless they can be specifically identified with financing and investing activities; and
- G) Cash receipts and payments from contracts held for dealing or trading purposes.

16. Some transactions, such as the sale of an item or plant may give rise to a gain or loss which is included in the determination of net profit or loss. However, the cash flows relating to such transactions are cash flows from investing activities.

17. A company may hold securities and loans for dealing or trading purposes, in which case they are similar to inventory acquired specifically for resale. Therefore, cash flows arising from the purchase and sale of dealing or trading securities are classified as operating activities. Similarly, cash advances and loans made by financial institutions are usually classified as operating activities since they relate to the main revenue-producing activity of that company.

INVESTING ACTIVITY

18. The enterprise disclosure of cash flows arising from investing activities is important because the cash flows represent the extent to which expenditure have been made for resources intended to generate future income and cash flows. Examples of cash flows arising from investing activities are:

- A) Cash payments to acquire property, plant and equipment, intangible and other long-term assets. These payments include those relating to capitalised development and self-constructed property, plant and equipment;
- B) Cash receipts from sale of property, plant and equipment, intangible and other long-term assets;
- C) Cash payments to acquire equity or debt instruments of other company and interests in joint ventures (other than payments for those instruments considered to be cash equivalents or those held for dealing or trading purposes);
- D) Cash receipts from sales of equity or debt instruments of other company and interests in joint ventures (other than receipts for those instruments considered to be cash equivalents and those held for dealing or trading purposes);
- E) Cash advances and loans made to other parties (other than advances and loans made by a financial institution);
- F) Cash receipts from the repayment of advances and loans made to other parties (other than advances and loans of a financial institution);

G) Cash payments for future contracts, forward contracts, option contracts and swap contracts except when the contracts are held for dealing or trading purposes, or the payments are classified as financing activities; and

H) Cash receipts from future contracts, forward contracts, option contracts and swap contracts except when the contracts are held for dealing or trading purposes, or the receipts are classified as financing activities.

19. When a contract is accounted for as an identifiable position, the cash flows of the contracts are classified in the same manner as the cash flows of the position being hedged.

FINANCING ACTIVITIES

20. The disclosure of cash flows arising from financing activities is important because it is useful in predicting claims on future cash flows by providers of capital of the company. Examples of cash flows arising from financing activities are :

A) Cash proceeds from issuing shares or other equity instruments;

B) Cash payments to owners to acquire or redeem the company's shares as may be permissible;

C) Cash proceeds from issuing debentures, loans, notes, bonds, mortgages and other short or long-term borrowings;

D) Cash repayments of amounts borrowed; and

E) Cash payments by a lessee for the reduction of the outstanding liability relating to a finance lease.

REPORTING CASH FLOWS FROM OPERATING ACTIVITIES

21. A company should report cash flows from operating activities.

22. Whereby net profit or loss is adjusted for the effects of transactions of a non-cash nature, and deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows.

23. Under this method, the net cash flow from operating activities is determined adjusting the net profit or loss for the effects of

A) changes during the period in inventories and operating receivables and payables;

B) non-cash items such as depreciation, provisions, taxes, unrealised foreign currency gains and losses, and

C) all other items for which the cash effects are investing or financing cash flows.

REPORTING CASH FLOWS FROM INVESTING AND FINANCING ACTIVITIES

24. A company should report separately major classes of gross cash receipts and gross cash payments arising from investing and financing activities, except the extent that cash flows described in paragraphs 23 and 25 are reported on a net basis.

REPORTING CASH FLOWS ON A NET BASIS

25. Cash flows arising from the following operating, investing or financing activities may be reported on a net basis:

A) Cash receipts and payments on behalf of customers when the cash flows reflect the activities of the customer rather than those of the company; and

B) Cash receipts and payments for items in which the turnover is quick. The amounts are large and the maturities are short.

26. Examples of cash receipts and payments referred to in paragraph 23 (A) are :

- A) The acceptance and repayment of demand deposits of a bank;
- B) Fund held for customers by an investment company; and
- C) Rents collected on behalf of, and paid over to, the owners of properties.

27. Examples of cash receipts and payments referred to in paragraph 23 (B) are advances made for and the repayment of:

- A) Principal amounts relating to credit card customers;
- B) The purchase and sale of investments and
- C) Other short-term borrowings, for example those which have a maturity period of three months or less.

28. Cash flows arising from each of the following activities of a financial institution may be reported on a net basis:

- A) Cash receipts and payments for the acceptance and repayment of deposits with a fixed maturity date;
- B) The placement of deposits with and withdrawal of deposits from other financial institutions; and
- C) Cash advances and loans made to customers and the repayments of those advances and loans.

FOREIGN CURRENCY CASH FLOWS

29. Cash flows arising from transactions in a foreign currency should be recorded in a company's reporting currency by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the cash flow.

30. The cash flows of foreign subsidiary should be translated at the exchange rates between the reporting currency at the dates of the cash flows.

31. Cash flows denominated in foreign currency are reported in a manner as permitted under the relevant accounting standard.

32. Unrealised gain and losses arising from changes in foreign currency exchange rates are not cash flows. However, the effect of exchange rate changes on cash and cash equivalent held or due in a foreign currency is reported in the cash flow statement in order to reconcile cash and cash equivalents at the beginning and the end of the period. This amount is presented separately from cash flows from operating, investing and financing activities and includes the differences, if any, had those cash flows been reported at the end of period exchange rates.

EXTRAORDINARY ITEMS

33. The cash flows associated with extraordinary items should be classified as arising from operating investing or financing activities as appropriate and separately disclosed.

34. The cash flows associated with extraordinary items are disclosed separately as arising from operating, investing or financing activities in the cash flows statement to enable users to understand their nature and effect on the present and future cash flows of the company.

INTEREST AND DIVIDENDS

35. Cash flows from interest and dividends received and paid should each be disclosed separately. Each should be classified in a consistent manner from period to period as either operating, investing or financing activities.

36. The total amount of interest paid during the period is disclosed to the cash flow statement whether it has been recognised as an expense in the income statement or capitalised.

37. Interest paid and interest and dividends received are usually classified operating cash flows for a financial institution. However, there is no consensus on the classification of these cash flows for other companies. Interest paid and interest and dividends received may be classified as operating cash flows because they enter into the determination of net profit or loss. Alternatively, interest paid and interest and dividends received may be classified as financing cash flows and investing cash flows respectively, because they are costs of obtaining financial resources or returns on investments.

38. Dividends paid may be classified as a financing cash flow because they are cost of obtaining financial resources. Alternatively, dividends paid may be classified as a component of cash flows from operating activities in order to assist users to determine the ability of a company to pay dividends out of operating cash flows.

TAXES ON INCOME

39. Cash flows arising from taxes on income should be separately disclosed and should be classified as cash flows from operating activities unless they can be specifically identified with financing and investing activities.

40. Taxes on income arise on transactions that give rise to cash flows that are classified as operating, investing or financing in a cash flow statement. While tax expense may be readily identifiable with investing or financing activities, the related tax cash flows are often impracticable to identify and may arise in a different period from the cash flows of the underlying transactions. Therefore, taxes paid are usually classified as cash flows from operating activities. However, when it is practicable to identify the tax cash flow with an individual transaction that gives rise to cash flows that are classified as investing or financing activities the tax cash flow is classified as an investing or financing activity as appropriate. When tax cash flow are allowed over more than one class of activity, the total amount of taxes paid is disclosed.

INVESTMENT IN SUBSIDIARIES, ASSOCIATES AND JOINT VENTURES

41. When accounting for an investment in an associate or a subsidiary accounted for by the use of equity or cost method, an investor restricts its reporting in the cash flow statement to the cash flows between itself and the investee, for example to the dividends and advances.

42. A company which reports its interest in a jointly controlled entity using a proportionate consolidation, includes in its consolidated cash flow statement its share of the jointly controlled entity's cash flow. A company which reports such an interest using the equity method includes in its cash flow statement, the cash flows in respect of its investments in the jointly controlled entity, and distributions and other payments or receipts between it and the jointly controlled entity.

ACQUISITIONS AND DISPOSALS OF SUBSIDIARIES AND OTHER BUSINESS UNITS

43. The aggregate cash flows arising from acquisition and from disposals of subsidiaries or other business units should be presented separately and classified as investing activities.

44. A company should disclose, in aggregate, in respect of both acquisition and disposal of subsidiaries or other business units during the period each of the followings :

A) The total purchase or disposal consideration;

B) The portion of the purchase or disposal consideration discharged by means of cash and cash equivalents;

C) The amount of cash and cash equivalents in the subsidiary or business unit acquired or disposed of; and

D) The amount of the assets and liabilities other than cash or cash equivalents in the subsidiary or business unit acquired or disposed of, summarised by each major category.

45. The separate presentation of the cash flow effects of acquisitions and disposals of subsidiaries and other business units as single line items, together with the separate disclosure of the amounts of assets and liabilities acquired or disposed of, helps to distinguish those cash flows from the cash flows arising from the other operating, investing and financing activities. The cash flow effects of disposals are not deducted from those of acquisitions.

46. The aggregate amount of the cash paid or received as purchase or sale consideration is reported in the cash flow statement net of cash and cash equivalent acquired or disposed of.

NON-CASH TRANSACTIONS

47. Investing and financing transactions that do not require the use of cash or cash equivalents should be excluded. From a cash flow statement, such transactions should be disclosed elsewhere in the financial statements in a way that provides all the relevant information about these investing and financing activities.

48. Many investing and financing activities do not have a direct impact on current cash flows although they do affect the capital and asset structure of a company. The exclusion of non-cash transactions from the cash flow statement is consistent with the objective of a cash flow statement as these items do not involve cash flows in the current period. Examples of non-cash transactions are :

A) The acquisition of asset or assets either by assuming directly related liabilities or by means of a finance lease:

B) The acquisition of a company by means of an equity issue; and

C) The conversion of debt to equity.

COMPONENTS OF CASH AND CASH EQUIVALENTS

49. An enterprise should disclose the components of cash and cash equivalents and should present a reconciliation of the amounts in its cash flow statement with the equivalent items reported in the balance sheet.

OTHER DISCLOSURES

50. A company should disclose, together with a commentary by management, the amount of significant cash and cash equivalent balances held by the company.

51. Additional information may be relevant to users in understanding the financial position and liquidation of a company. Disclosure of this information, together with a commentary by management, is encouraged and may include:

A) The amount of undrawn borrowing facilities that may be available for future operating activities and to settle capital commitments, indicating any restrictions on the use of these facilities.

B) The aggregate amount of cash flows that represent increase in operating capacity separately from those cash flows that are require to maintain operating capacity.

52. The separate disclosure of cash flows that represent increases in operating capacity and cash flows are required to maintain operating capacity is useful in enabling the user to determine whether the company is investing adequately in the maintenance of its operating capacity. A company that does not invest adequately in the maintenance of its operating capacity may be prejudicing future profitability for the use of current liquidity and distribution to owners.

ABC LTD.

CASH FLOW STATEMENT FOR _____

A. CASH FLOW FROM OPERATING ACTIVITIES :

NET PROFIT BEFORE TAX AND EXTRAORDINARY ITEMS

Adjustments for :

(Depreciation)

Foreign Exchange

Investments

Interest/Dividend

OPERATING PROFIT BEFORE WORKING CAPITAL CHANGES

Adjustments for :

Trade and other receivables

Inventories

Trade payables

CASH GENERATED FROM OPERATIONS

INTEREST PAID

DIRECT TAXES PAID

Cash flow before extraordinary items

Extraordinary items

Net cash from operating activities

B. CASH FLOW FROM INVESTING ACTIVITIES :

Purchase of fixed assets

Sale of fixed assets

Acquisitions of companies

(As per annexure)

Purchase of investments

Sale of investments

Interest received

Dividend received

Net cash used in investing activities

C. CASH FLOW FROM FINANCING ACTIVITIES

Proceeds from issue of share capital

Proceeds from long term borrowings

Repayment of finance lease liabilities

Dividends paid

Net cash used in financing activities

Net increase in cash and cash equivalents

Cash and cash equivalents as at _____

(Opening Balance)

Cash and cash equivalents as at _____

(closing Balance)
